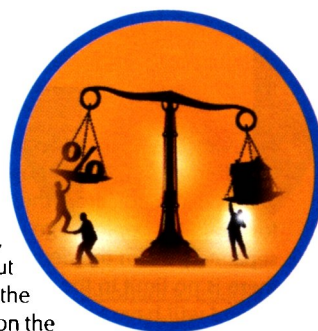


I). Housing Loan Repayment

Maximum deduction: Rs 1 lakh

The principal portion of a home loan EMI is eligible for deduction under Section 80C. So, even if you don't have surplus money to invest because you are paying a big EMI, your home loan repayment ensures that you don't lose out on Section 80C benefits. If you factor in this tax benefit and the deduction available under Section 24 on the interest paid on the home loan, the effective rate of interest comes down significantly.

Take a joint loan with spouse, sibling or parent. This way, both co-owners of the property can separately claim tax benefits on the home loan. But don't let the tax breaks tempt you to extend the tenure of your home loan. The shorter the tenure, the better it is.



J). Tuition Fees

Maximum deduction: Rs 1 lakh

The tuition fees paid for up to two children is also eligible for deduction under Section 80C. But the tax benefit is only on tuition fees paid to a recognised educational institution in India. Playschools, foreign colleges and universities and private coaching classes do not qualify for the deduction. Also, the fees have to be for the taxpayer's own children and not siblings, nephews, nieces or grandchildren. The benefit cannot be availed of by both the parents. If there's only one child, only one of the parents can claim the tax benefits on the school tuition fee. Otherwise, each parent can claim the tax benefit for different children.



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